NESA number......................................

2021 | HIGHER SCHOOL CERTIFICATE TRIAL EXAMINATION

Economics

General Instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black pen
- NESA approved calculators may be used

Total marks: 100

Section I – 20 marks (pages 2–7)

- Attempt Questions 1–20
- Allow about 35 minutes for this section

Section II – 40 marks (pages 9–16)

- Attempt Questions 21–24
- Allow about 1 hour and 15 minutes for this section

Section III – 20 marks (pages 21–22)

- Attempt either Question 25 or Question 26
- Allow about 35 minutes for this section

Section IV – 20 marks (page 23)

- Attempt either Question 27 or Question 28
- Allow about 35 minutes for this section

Section I

20 marks
Attempt Questions 1–20
Allow about 35 minutes for this section

Use the multiple-choice answer sheet for Questions 1–20.

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1 An increase in which of the following would cause a slowdown in the process of globalisation?

(A) Tariffs

(B) Migration

(C) Transport infrastructure

(D) Transnational corporations

2 The Reserve Bank of Australia sells Commonwealth Government Securities as part of its Open Market Operations.

Which of the following would be the most likely impacts of this decision?

(A) Cash rate rises and aggregate demand increases

(B) Cash rate rises and aggregate demand decreases

(C) Cash rate falls and aggregate demand increases

(D) Cash rate falls and aggregate demand decreases

3 Which of the following would decrease a country's international competitiveness?

(A) A fall in real wages

(B) A decrease in interest rates

(C) An appreciation of the currency

(D) Increased skilled migrants coming into the country

4 The table shows data for the government of a hypothetical economy.

Year	*Taxation ($m)*	*Government spending ($m)*
Year 1	155	167
Year 2	159	168

What was the government's fiscal stance in Year 2?

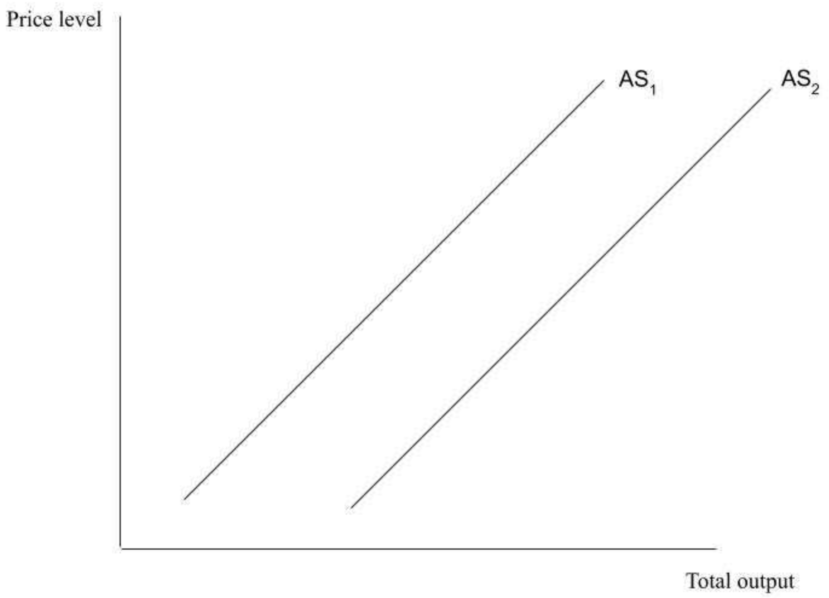
(A) Deficit

(B) Surplus

(C) Expansionary

(D) Contractionary

5 The diagram shows two aggregate supply curves for a hypothetical economy.



All other things being equal, the shift from AS_1 to AS_2 is most likely to have been caused by

(A) A rise in electricity costs.

(B) A raising of the retirement age.

(C) A depreciation of the exchange rate.

(D) The introduction of local content rules.

6. A government decides to borrow from the private sector to fund increased infrastructure spending.

   What would be the most likely impact of this decision?

   (A) An increase in interest rates

   (B) A decrease in aggregate supply

   (C) A decrease in aggregate demand

   (D) An increase in the unemployment rate

7. A permanent employee has worked for the same firm in Australia for over a year.

   Which of the following payments is the firm NOT required to offer the employee under the Australian National Employment Standards?

   (A) Paid holiday leave

   (B) Paid parental leave

   (C) Paid compassionate leave

   (D) Paid compensation in the case of redundancy

8. An Australian medical firm purchases the patent to produce a new drug from a US manufacturer.

   How would this transaction be recorded on Australia's balance of payments?

	Account on Balance of Payments	*Credit / Debit*
(A)	Current	Debit
(B)	Current	Credit
(C)	Capital	Debit
(D)	Capital	Credit

9. Which of the following actions by the government could NOT cause the Lorenz curve of an economy to shift to the right?

   (A) Reducing the Company tax rate

   (B) Reducing the Goods and Services tax

   (C) Reducing subsidies on education programs

   (D) Reducing the marginal tax rate on the highest income tax bracket

The table below displays selected data for a hypothetical economy. Refer to it to answer questions 10 and 11.

Employment data	*Year 1*	*Year 2*
Full-time employed persons	12 500 000	13 350 000
Part-time employed persons	500 000	600 000
Unemployed Persons	200 000	260 000
Working age population	22 500 000	22 600 000

10. What is the unemployment rate in Year 2?

(A) 1.2%

(B) 1.5%

(C) 1.8%

(D) 1.9%

11. What is the participation rate in Year 2?

(A) 59.0%

(B) 61.7%

(C) 62.9%

(D) 63.4%

12. Which of the following policies would have the fastest impact on GDP growth?

(A) Fiscal

(B) Trade

(C) Monetary

(D) Education

13. A government imposes new regulations to ensure fair competition between firms.

Which of the following would likely decrease due to this change?

(A) Profits

(B) Award wages

(C) Aggregate supply

(D) Aggregate demand

14. Which of the following is most likely to increase Australia's Current Account Surplus?

(A) A decrease in net equity levels

(B) A decrease in global interest rates

(C) An increase in funding to Australia's foreign aid program

(D) An increase in money transferred to relatives overseas by migrants to Australia

15. Which of the following could result in an appreciation of the Australian dollar against the Trade Weighted Index?

(A) Export volumes increasing compared to import volumes

(B) A greater decrease in export prices compared to import prices

(C) An decrease in foreign cash rates relative to the Australian cash rate

(D) Worsened economic conditions amongst Australia's main trading partners

16. A country receives $5 million in additional infrastructure investment, and total GDP increases by $40 million.

What is the country's marginal propensity to consume?

(A) 0.125

(B) 0.2

(C) 0.8

(D) 0.875

17. Which of the following are likely implications of reduced protection levels for Australian firms and individuals?

	Firms	Households
(A)	Less exposure to the global market	Increased job opportunities
(B)	Reduced productivity growth	Decrease in structural unemployment
(C)	More exposure to the global market	Less access to global goods and services
(D)	Lower input costs	Increase in structural unemployment

18. Assume in a three sector economy that C = 200 + 0.6Y and I = 200 in Year 1.

In Year 2, I increases to I = 220. Which of the following statements is true?

(A) The multiplier is 0.6 and economic growth is from Year 1 to Year 2 is 6% p.a.

(B) The multiplier is 2.5 and economic growth is from Year 1 to Year 2 is 5% p.a.

(C) The multiplier is 4 and economic growth is from Year 1 to Year 2 is 10% p.a.

(D) The multiplier is 6 and economic growth is from Year 1 to Year 2 is 10% p.a.

19. How would the purchase of financial derivatives by a transnational corporation be recorded in Australia's balance of payments?

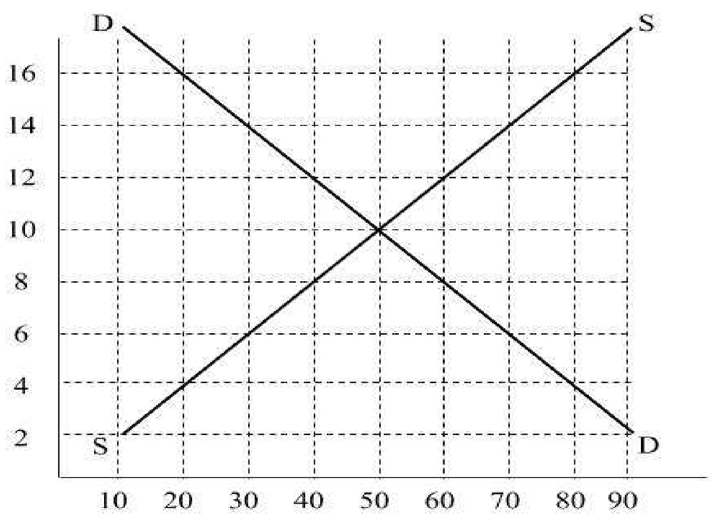
(A) As a credit in the financial account

(B) As a credit in the capital account

(C) As a debit in the financial account

(D) As a debit in the capital account

20. The diagram shows domestic demand and supply for t-shirts for an economy with free trade.



Assume the international price for t-shirts is $6.

If the government imposed an import quota of 60 t-shirts, what would be the change in revenue for domestic producers of t-shirts?

(A) - $100

(B) $0

(C) $180

(D) $360

End of Section I

2021 HIGHER SCHOOL CERTIFICATE TRIAL EXAMINATION

Economics

Section II

40 marks

Attempt Questions 21–24

Allow about 1 hour and 15 minutes for this section

Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.

Extra writing space is provided at the back of the booklet. If you use this space, clearly indicate which question you are answering.

Please turn over

Question 21 (10 marks)

(a) Explain ONE advantage of a monetary union. **2**

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(b) Explain the impact on the Australian economy of TWO protectionist policies used by other countries. **4**

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Question 21 continues on page 10

Question 21 (continued)

(c) The government of a developing economy reduces its regulations in order to increase economic growth. **4**

Discuss one advantage and one disadvantage of this change for the country's economic development.

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End of Question 21

Question 22 (10 marks)

(a) Why is fiscal policy considered to be a macroeconomic policy?. **1**

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(b) Explain an advantage and disadvantage of ONE method of financing a budget deficit. **4**

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Question 22 continues on page 12

Question 22 (continued)

(c) Compare and contrast the use of fiscal policy and microeconomic reform to achieve economic growth. **5**

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End of Question 22

Question 23 (10 marks)

(a) Briefly explain TWO reasons why unemployment is a concern for the government? **2**

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(b) Explain ONE reason why Australia's labour force participation rate has increased over the past two decades. **2**

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Question 23 continues on page 14

Question 23 (continued)

(c) A hypothetical government is aiming to increase wage levels and achieve full employment in the economy. The government is considering either increasing funding for training programs or increasing the minimum wage. **6**

Compare and contrast the likely impacts on labour market outcomes of an increase in funding for training programs and an increase in the minimum wage.

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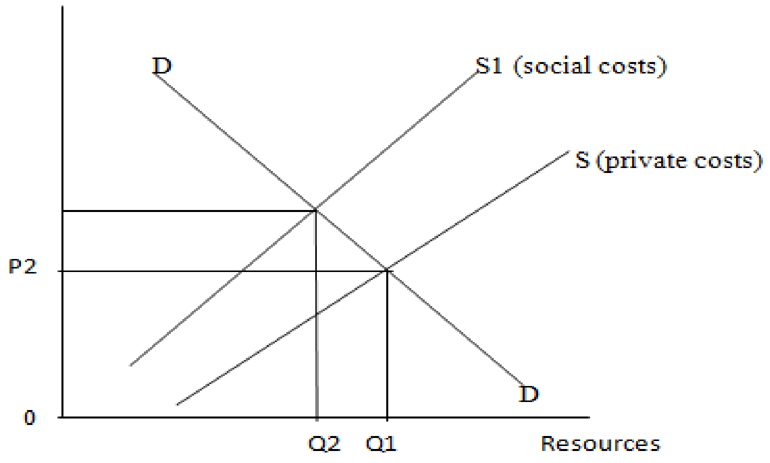
End of Question 23

Question 24 (10 marks)

The diagram below shows the demand and supply curve of a firm.



(a) How does the supply curve move from SS to S1S1 and briefly explain the implications to the environment of that move? **2**

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(b) Explain how the Australian government has attempted to achieve more effective environment management? **4**

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Question 24 continues on page 17

Question 24 (continued)

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(c) Explain how the issues of pollution and climate change are being managed in the global economy **4**

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End of Question 24

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Economics

Section III

20 marks
Attempt either Question 25 or Question 26
Allow about 35 minutes for this section

Answer the question in the Section III Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
- use the information provided
- apply relevant economic terms, concepts, relationships and theory
- present a sustained, logical and cohesive response

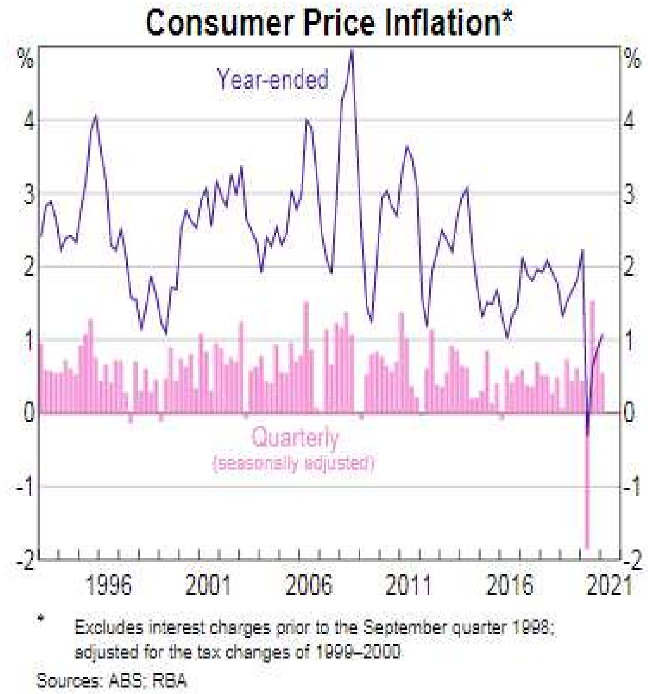
Please turn over

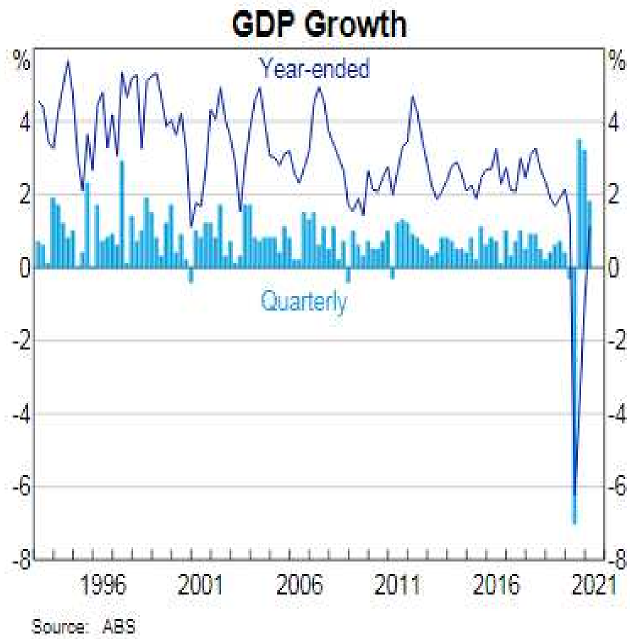
Question 25 (20 marks)

Assess the effectiveness of expansionary macroeconomic policies in managing economic growth and price stability in the Australian economy. In your response, refer to the economic information provided.

Since the onset of the pandemic the Commonwealth Government has provided $257 billion in direct economic support… [But] it is important to remember that macroeconomic stabilisation policy can only do so much. The living standards of Australians will ultimately depend on the drivers of long-run economic growth – population, participation and productivity growth. [Even] prior to COVID-19, Australia – like many advanced countries – had modest productivity growth. Some causes of this include reduced dynamism, including low levels of firm entry; less job switching; slower adoption of frontier technologies and processes; and less labour reallocation from low to high productivity firms.

Dr Steven Kennedy, Secretary to the Australian Treasury, November 2020





OR

Question 26 (20 marks)

Assess the impacts of a slowdown in globalisation and the international business cycle on the global economy. In your response, refer to the economic information provided.

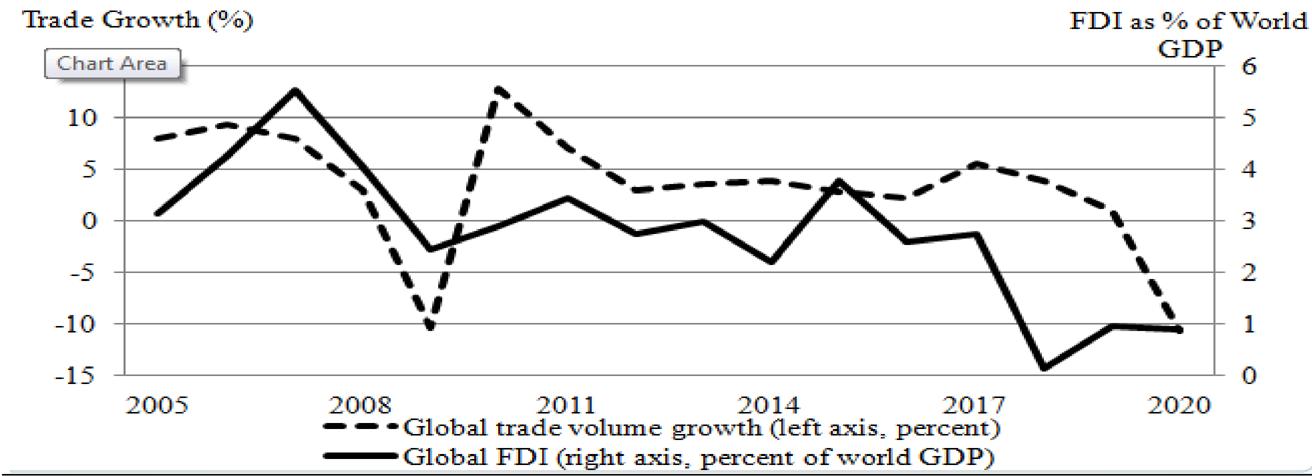
A year and a half since the onset of the COVID-19 pandemic, the global economy is poised to stage its most robust post-recession recovery in 80 years in 2021. But the rebound is expected to be uneven across countries, as major economies look set to register strong growth even as many developing economies lag.

Global growth is expected to accelerate to 5.6% this year, largely on the strength in major economies such as the United States and China. .... growth for almost every region of the world has been revised upward for 2021, many continue to grapple with COVID-19 ...... Despite this year's pickup, the level of global GDP in 2021 is expected to be 3.2% below pre-pandemic projections, and per capita GDP among many emerging market and developing economies is anticipated to remain below pre-COVID-19 peaks for an extended period.

Growth among emerging market and developing economies is expected to accelerate to 6% this year, helped by increased external demand and higher commodity prices. However, the recovery of many countries is constrained by resurgences of COVID-19, uneven vaccination, and a partial withdrawal of government economic support measures.

The World Bank *"The Global Economy on Track for Strong but Uneven Growth as COVID-19 Still Weighs", 8/6/2021*

Global Trade Growth and Global Foreign Direct Investment (2005-2020)



Source: IMF World Economic Outlook, October 2020

Please turn over

Section IV

20 marks
Attempt either Question 27 or Question 28
Allow about 35 minutes for this section

Answer the question in the Section IV Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
- apply relevant economic information, terms, concepts, relationships and theory
- present a sustained, logical and cohesive response

Question 27 (20 marks)

Assess the effectiveness of microeconomic reform in achieving Australia's economic objectives.

OR

Question 28 (20 marks)

Assess the effectiveness of labour market policy and fiscal policy in reducing income inequality and wealth inequality.

End of paper